

Venture Capital and Entrepreneurial Management

MGMT 264
The Business Model - A New Source of Innovation

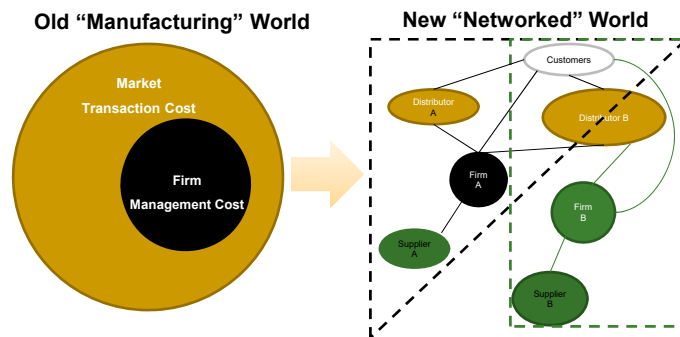
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The Phenomenon



2

New Ways of Doing Business



3

Digitization As "Enabler"...

- | | | |
|--|--|---|
| <ul style="list-style-type: none"> • Shifting bargaining power to customers <ul style="list-style-type: none"> – Alleviate information asymmetry between sellers and customers – Enable collective bargaining power of customers – Enable mass customization | <ul style="list-style-type: none"> • Reducing transaction cost between partners <ul style="list-style-type: none"> – Reduce search and information cost – Alleviate information asymmetry between partners – Enable a larger number of repeated transactions – Improve efficiency of enforcing transactions | <ul style="list-style-type: none"> • Enabling new interactions <ul style="list-style-type: none"> – Software as a service – Cloud computing – Viral marketing – Crowdfunding – Shared economy – Reverse auctions |
|--|--|---|

4

...Of New Business Models

- A holistic perspective on **how** firms do business
- Emphasis on activities
 - Activity system centered on a focal firm, but possibly spanning firm and industry boundaries
- Key to unlock value from product innovation
- Source of innovation



5

How To Get Unsecured Credit?

- ❑ Suppose you need some money to buy consumer products (TV, car) or to finance education
- ❑ What is the problem (for you)?
- ❑ How could it be solved (by a company)?

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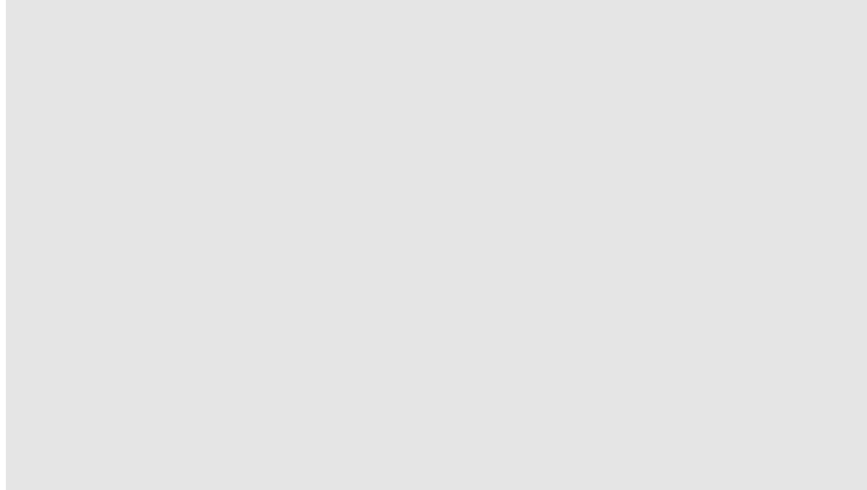
How To Get Unsecured Credit?



An Entrepreneurial Opportunity?



New Business Model: P2P Lending



How Zopa Works



Business Model

Lenders

Zopa account at:

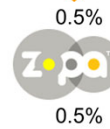


4.75% pa

- Rate (%)
- Term (12-60 months)
- Risk level (A*, A, B, C)
- Max. exposure per borrower (as little as £10)



Match



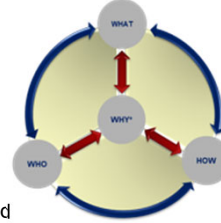
Borrowers



Zopa Risk Assessment:
A* A B C

- Rate (%)
- Term (12-60 months)
- Amount (£)

Zopa Business Model Innovation



WHAT?

- Providing a platform on which issuers and buyers of loans can interact directly
- Getting rid of retailing-related activities
- Providing an automated credit assessment tool based on broad information sources (social media).

HOW?

- Establish direct links between buyers and sellers of loans
- Credit allocation mechanism splits loans among various borrowers to limit default risk

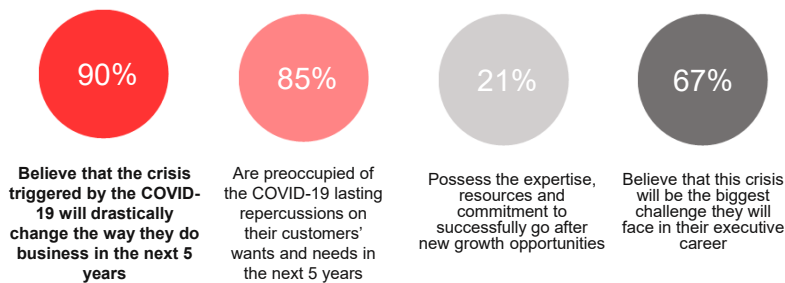
WHO?

- No banks in the middle

WHY?

- Enabling credit for people who were shut out from the market before
- Enhancing credit volume through better rates for customers
- Value capture by Zopa through transaction fees

Does the COVID-19 Crisis Offer an Opportunity to Innovate? Are You Ready?



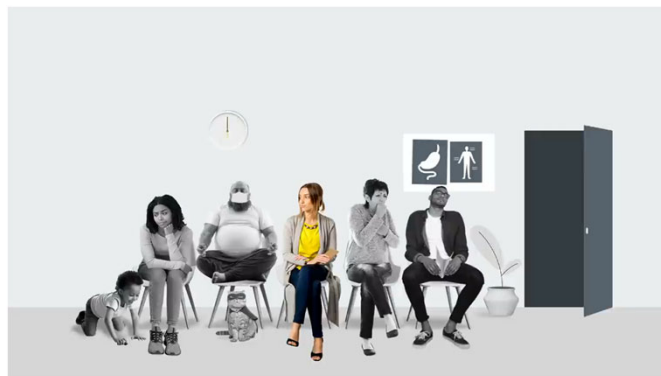
Source : Bar Am J., Furstenthal L., Jorge F., & Roth E. June 2020. Innovation in a crisis: Why it is more critical than ever. McKinsey & Company Report.

Business Model Innovation (BMI) in the (Post-) COVID Digital Age: A Strategic Imperative

- COVID → reimagine opportunities & reinvent your company
- New technologies enable novel business models
- Shifting eco systems
- New entrants disrupt incumbents, incumbents fight back

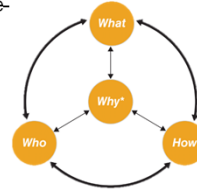


Digitally-Enabled BMI in Health



Babylon Health Business Model Innovation

- **WHAT?**
 - Providing healthcare services via mobile app
 - Using AI to answer majority of (repetitive) user questions and to pre-screen
 - Providing online consultation services with medical doctors
- **HOW?**
 - Booking video appointments with clinicians, 24/7, available through subscription plans
 - Checking symptoms with AI powered chatbot ("Instant Symptom Checker")
 - Monitoring through patient "Healthcheck" profile (e.g., Digital Twin, medical history/records, etc.)
- **WHO?**
 - Managed by unique team of scientists, engineers, doctors and specialists
 - Creating partnerships with governments (e.g., UK NHS) and NGOs (e.g., Gates Foundation), pharmaceutical companies, insurance firms.
- **WHY?**
 - Purpose: Changing from "sick care" to "health care"
 - Patients get better and more accessible care, including constant follow-up
 - Reducing waiting times and easing pressure on emergency rooms

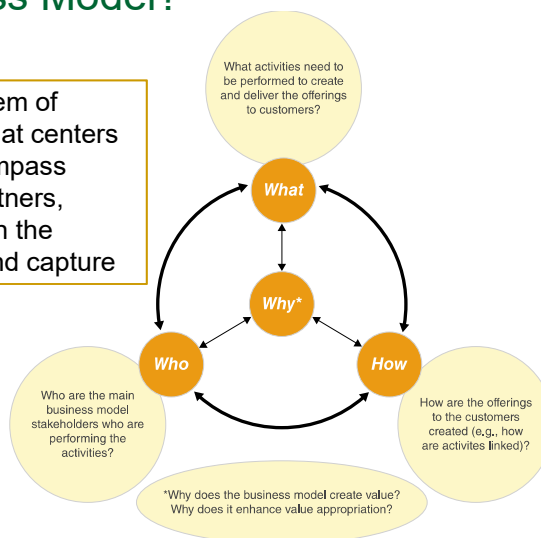


What is a Business Model?

A boundary-spanning system of interdependent activities that centers a focal firm, yet may encompass activities performed by partners, suppliers, and customers in the pursuit of value creation and capture

It is characterized by its:

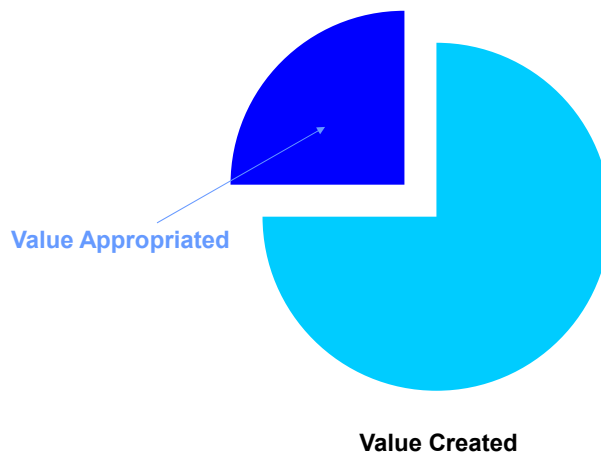
- Content (**What?**)
- Structure (**How?**)
- Governance (**Who?**)
- Value logic (**Why?**)



A Value-Centered Activity System

- ❑ The business model is an activity system with two objectives:
 - To **create value** for all business model stakeholders
 - ❖ This is commonly referred to as the “value proposition” (e.g., to customers: satisfy customer needs)
 - To **appropriate value** for the focal firm
- ❑ These objectives address the:
 - ❖ **WHY** of the business model (core logic → value proposition)
 - ❖ **WHAT, HOW, and WHO** (core design of activity system → value creation and delivery)

Value Created & Value Appropriated



What Makes A Business Model Innovative?



- Business model is **innovative** when it is novel in its product-market space
- May imply significant strategic shift

Example: Netflix

NETFLIX



- Netflix introduced business model innovation in video rentals
- Customers selected DVDs online
- Received them via mail

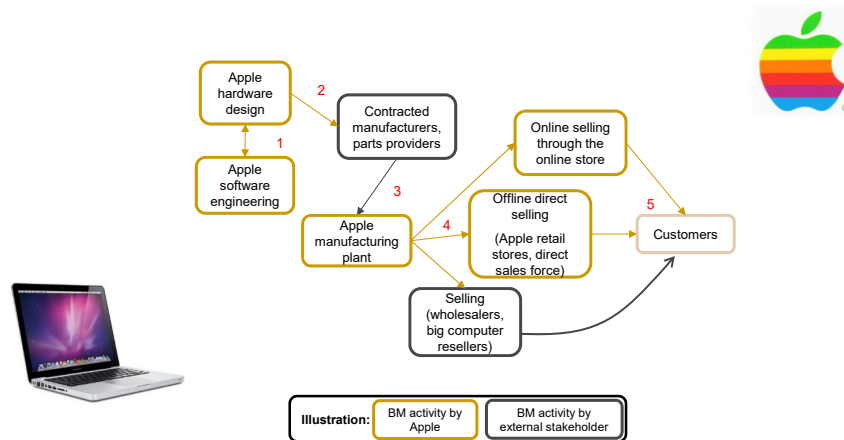
Ways To Innovate Your Business Model

- ❑ Entrepreneurial leaders can innovate their business model along any of its four dimensions (**What, How, Who, Why**)
 - They can:
 - ❑ Add and/or eliminate activities (novel content; **What**)
 - ❑ Link activities in new ways (novel structure; **How**)
 - ❑ Bring in new partners to perform activities (novel governance; **Who**)
 - ❑ Adopt a new revenue model (novel value logic; **Why**)
- ❑ Innovations in business model content, structure, governance, and value logic often **highly interdependent**

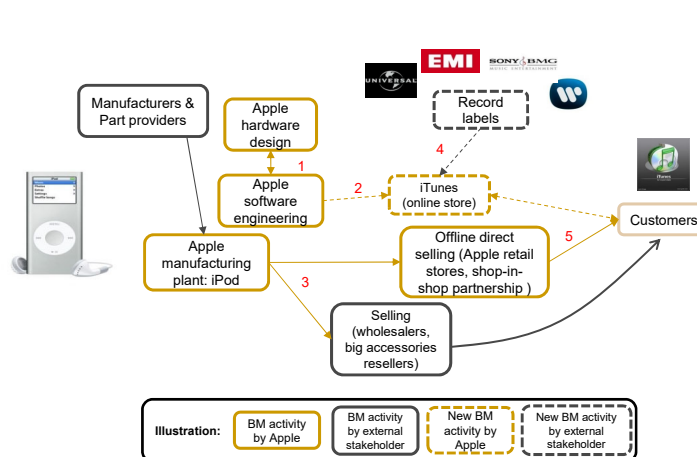
What? Innovating Business Model Content

- ❑ Which activities (not) to perform?
 - Which activities to add to the system?
 - Which activities to drop from the system?
 - What (new) activity–enabling resources & capabilities are necessary / desirable?
 - How can our products & services be improved by a different set of activities?

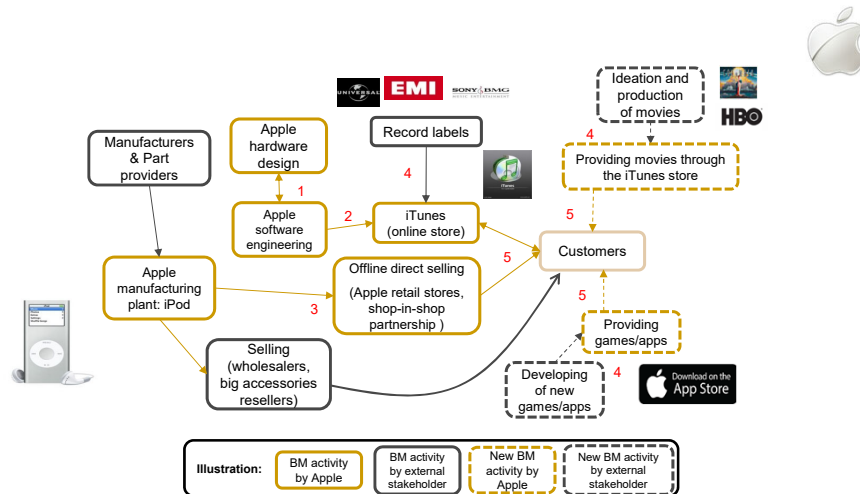
“Old” Apple’s Business Model



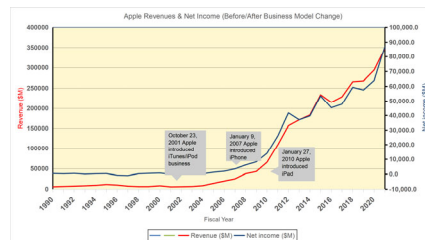
Apple’s Business Model Innovation I



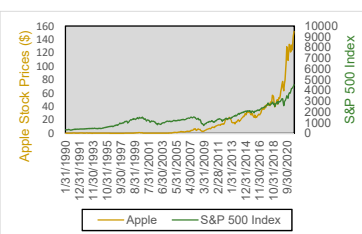
Apple's Business Model Innovation II



Upside of Business Model Innovation: Value Creation and Value Capture

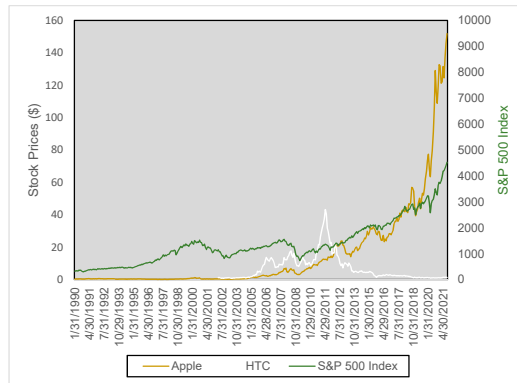


Apple revenues and net income (before/after business model changes, e.g., iPod/iTunes, iPhone/App Store)



Apple stock price (before/after business model changes, e.g., iPod/iTunes, iPhone/App Store)

Product Innovation Without Business Model Innovation May Not Be Enough



- Taiwanese firm HTC is an innovative product manufacturer
- But it has struggled as business model has remained centered on *products*
- “Great razors, but no razor blades”

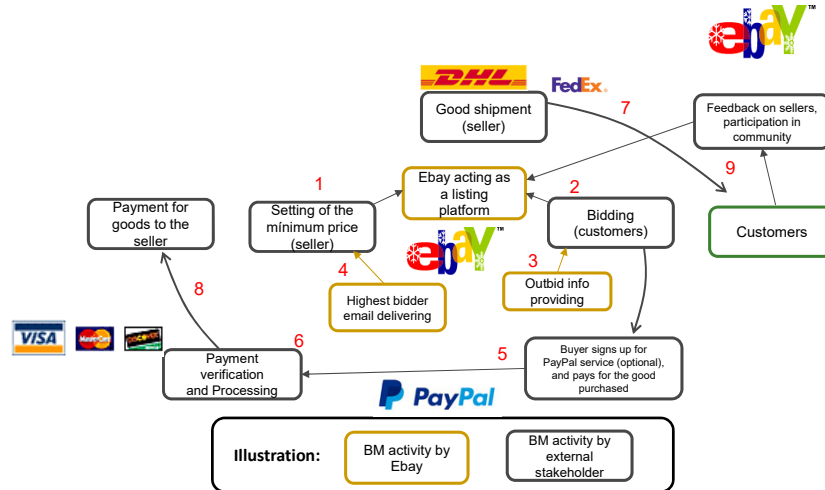
Stock price of vs. Apple

How? Innovating Business Model Structure

□ How to connect activities in novel ways?

- Links between activities
- Sequencing

eBay Novel Business Model Structure



Who? Innovating Business Model Governance

❑ Who should perform the activities? What novel governance arrangements can be found?

- ❖ Degree of vertical integration
- ❖ Control of
 - Information flows
 - Physical flows
- ❖ Incentives for partnering firms and customers
- ❖ Who is your target customer?

eBay Novel Business Model Governance



How To Fund Your Project?

- ☐ Suppose you need money for a project
 - Develop a cool new product
 - Record a music album
 - Produce a short film
- ☐ "Tried and tested" solutions?
- ☐ Any new approaches on the horizon?



New Business Model: Crowdfunding



Kickstarter Business Model Innovation

❑ WHAT?

- Providing a platform for funding new ideas, exposing fund providers

❑ HOW?

- Linking founders and funders directly

❑ WHO?

- Everybody (not just angel investors)

❑ WHY?

- Accessing a global market
- Funders do not get money back, only a T-Shirt, a CD, or a chance to pre-order the gadget being developed
- Kickstarter gets 5% of the funding raised as a commission



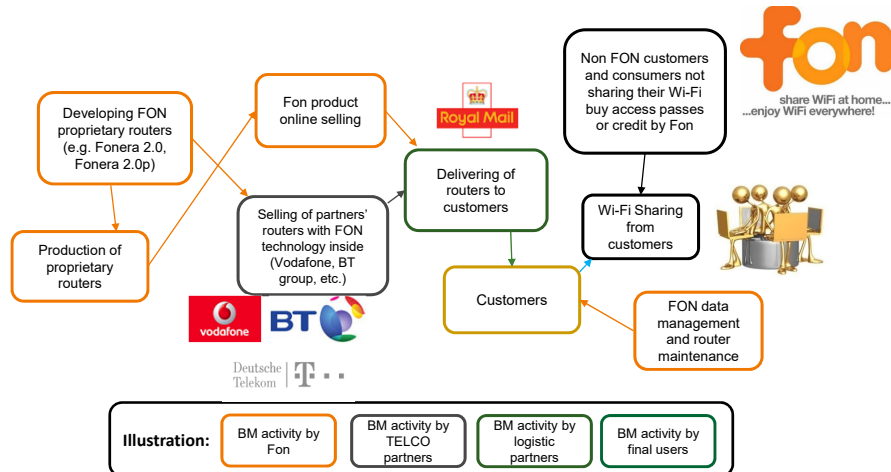
How to Get Wi-Fi Broadband Access Everywhere You Go?



Fon Business Model Innovation

- ☐ What? ✓
- ☐ How? ✓
- ☐ Who? ✓
- ☐ Why? ✓

New Business Model



How To Keep Power Tools In Perfect Conditions?



Plumbers, bricklayers, artisans, etc. All of them with the same issue: maintenance of their power tools

Problem

- Usually time consuming and costly, especially for firms with big fleets

Usual solution

- Management of power tools mostly performed by the company itself since no real alternatives

Hilti Business Model Innovation

❑ WHAT?

- Tool renting (new activity for Hilti)
- Tool management and maintenance (new activity as well)



❑ HOW?

- Bypassing vendors & creating stronger direct links with customers

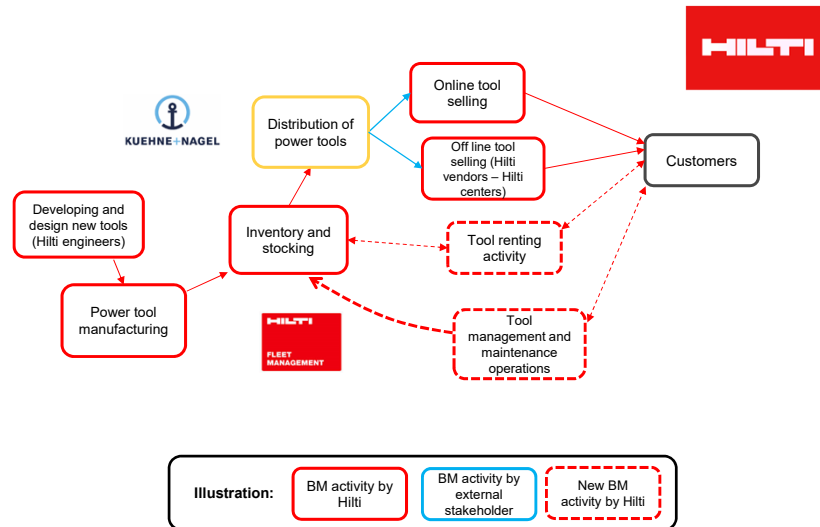
❑ WHO?

- Instead of leaving maintenance to customers, activity is now performed by Hilti itself

❑ WHY?

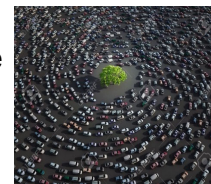
- Long-term service contracts ensure steady revenue flow to Hilti
- Customer value proposition: Less down-time, lower maintenance costs (intelligent prevention), new services (e.g., inventory services)

Hilti: How it Works



How to Reduce Traffic Jams in Indonesia Due to Road Damage Based on Excellent Cement?

In Indonesia there are big mobility problems due to high number of vehicles



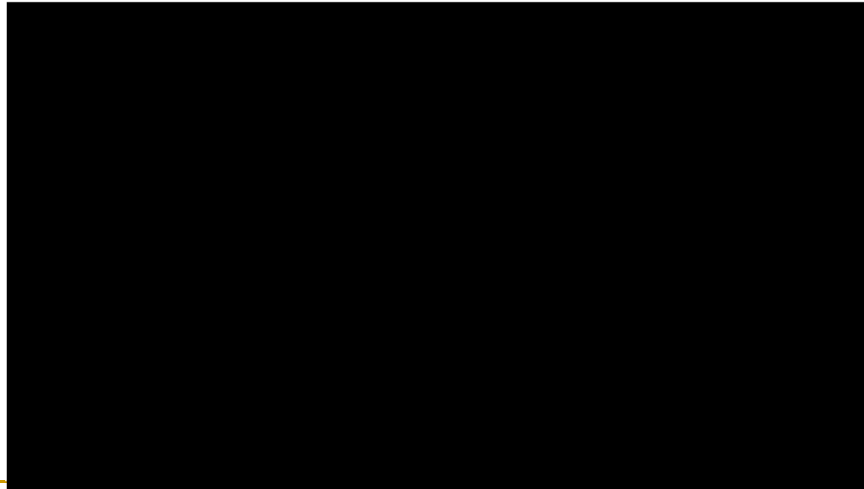
Problem

- Interrupting drivability for too long means endless traffic jams and social costs in terms of pollution, delays, etc.

Typical solution

- Contract road repairing companies with a low level of expertise and resources

How to Reduce Traffic Jams Due to Road Damage?



Holcim Business Model Innovation

- **WHAT?**

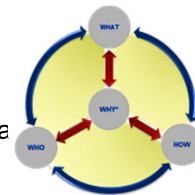
- Tailored public road repairing solutions thanks to a concrete drying in 7h (Speedcrete)

- **HOW?**

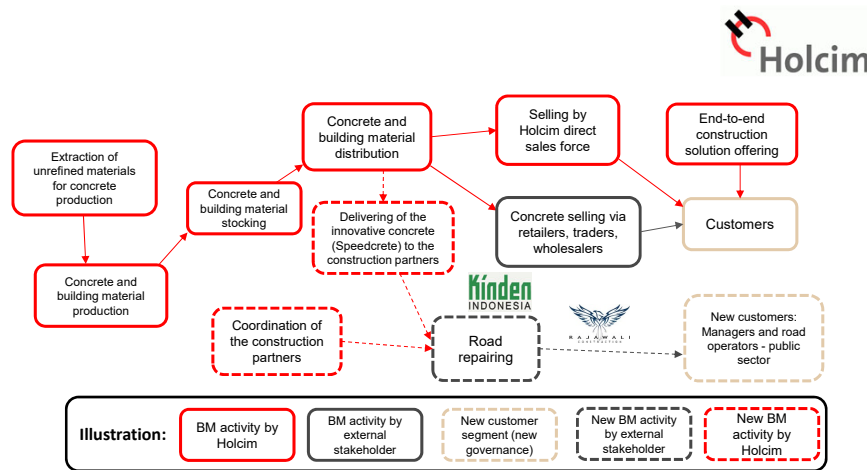
- Road managers contract Holcim Indonesia for overnight repair of damaged roads

- **WHO?**

- Construction companies (partners of Holcim) deliver the repairing service using Holcim products (Speedcrete)



Holcim Speed Crete: How It Works?



How To Make Excellent Espresso At Home?

Suppose you are an espresso lover and you really enjoy drinking good coffee.

- **Problem**

- Making a great espresso at home is not an easy task: you need the right machine and coffee blend

- **Typical solution**

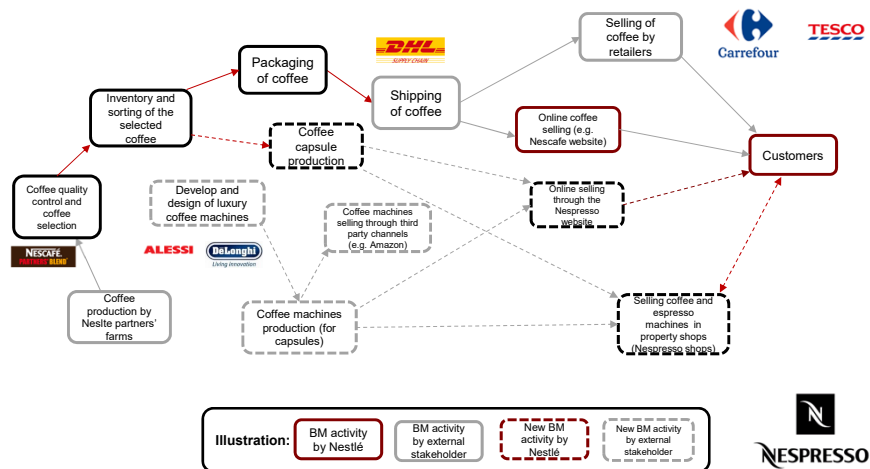
- Go to a bar or use either a moka or an anonymous coffee machine



How To Make High-Quality Espresso At Home?



Nespresso: How it Works?



Other Business Model Innovators



Hallmarks of Business Models

- A holistic perspective on *how* firms do business
- Emphasis on activities
 - Activity system centered on a focal firm, but possibly spanning firm and industry boundaries
- Key to unlock value from product innovation
- Source of innovation
- Emphasis on value appropriation and creation

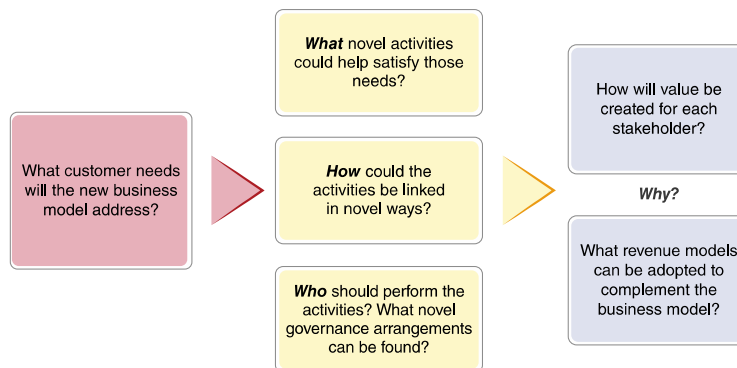


Business Model Innovation: Novel Value Logic



51

Six Questions About Business Model Innovation



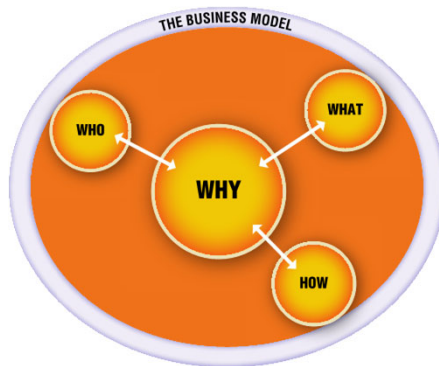
Source: Amit and Zott *Business Model Innovation Strategy*, Chapter 4 (Wiley, 2021)

How to Develop a Business Model Innovation (BMI) Strategy

- Starts with embracing a business model mindset (Chapter 3)
- A BMI strategy is the pattern of choices regarding:
 - Design of a new activity system
 - Processes and antecedents by which the new system is created
 - Implementation and ongoing adaptation of the system



BMI Strategy – Design of New System of Activities



Source: Amit and Zott *Business Model Innovation Strategy*, Chapter 12 (Wiley, 2021)

- A BMI strategy must be anchored on clear market needs
- This entails recognizing stakeholders' problems, then addressing:
 - **What** (activities)?
 - **Who** (conducts them)?
 - **How** (are they linked)?
 - **Why** (do they allow for value creation and capture)?

The Strong Case for Having a BMI Strategy

- Business model innovation strategy is a core strategic choice that corporate executives and startup entrepreneurial leaders need to consider
- It complements **corporate strategy**
- As well as **business strategy**



Business Model Innovation Strategy: Think Digital Platforms

- Rise of digital multisided platform models necessitates a BMI strategy
- Examples: Facebook, Amazon, Expedia, and Match.com
- Robust and scalable; offer compelling value proposition(s)
- Can be standalone or complement a brick-and-mortar business

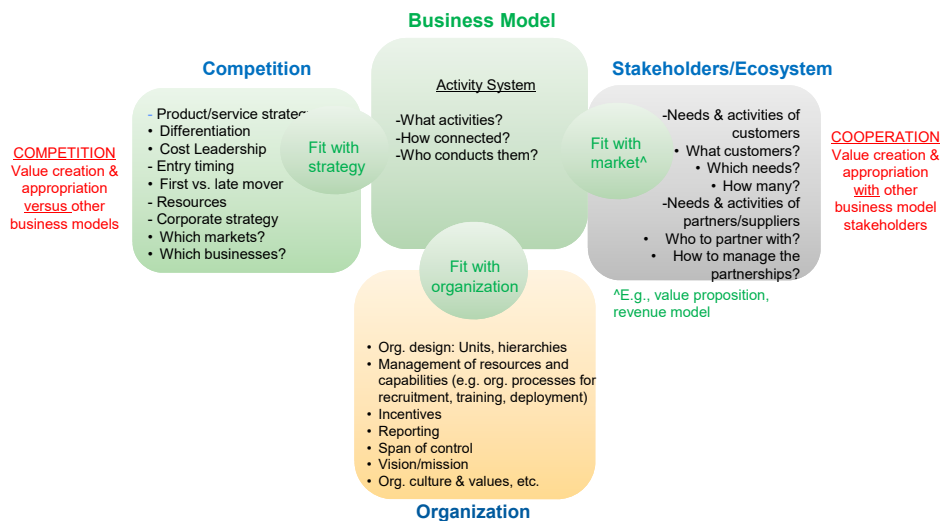


Business Model Innovation Strategy: Think Digital Platforms

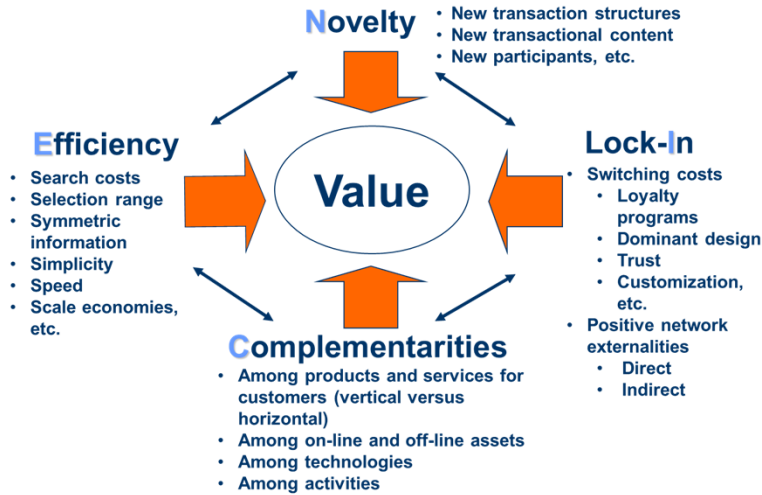
- An important aspect of a BMI strategy is monetization
- Value capture in digital business models through (often novel) revenue models
- Examples of revenue models: subscription, advertising, commission



Creating Fit is Paramount...



The NICE Value Drivers



Think More Broadly About Innovation

Innovation type	Business Model Innovation	Product Innovation	Process Innovation	Management Innovation
Definition	A business model that is new to the industry in which the focal firm competes (Zott and Amit 2010; Snihur and Zott, 2016)	A new technology introduced commercially to meet a market need (Utterback and Abernathy, 1975)	New elements introduced into a firm's operation to produce a product or render a service (Damanpour, 2010)	Invention and implementation of a management technique that is new to the state of the art (Birkinshaw, Hamel, and Mol, 2008)
Unit of analysis	Activity system	Product and its characteristics	Process routines	Management techniques
Level of analysis	Nestled between firm + industry	Firm	Firm	Firm, industry, country

What is a Business Model Mindset?

Business model mindset

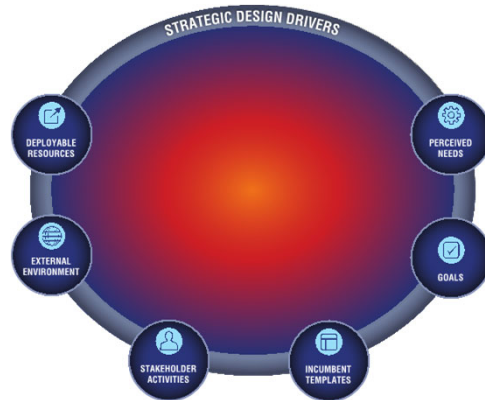
A state of mind, attitude, or inclination that helps someone consider the firm's entire activity system, along with its associated dimensions of content (*What*), structure (*How*), governance (*Who*), and value logic (*Why*), as a potential solution for a business problem or opportunity

The Importance of Developing a Business Model Mindset

- A business model innovation mindset has become a prerequisite for transformative innovation
- Understand and react to changes
- Thinking at a systems level (difficult!)
- Can be taught, developed, and sharpened
- But beware of mindset traps...



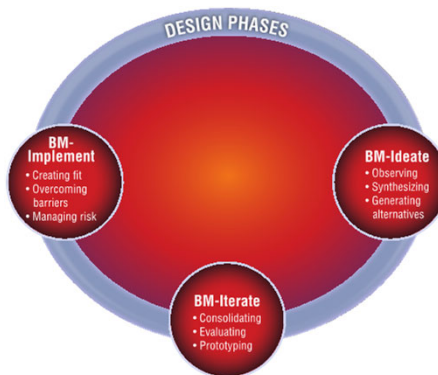
BMI Strategy – Antecedents



Source: Amit and Zott *Business Model Innovation Strategy*, Chapter 12 (Wiley, 2021)

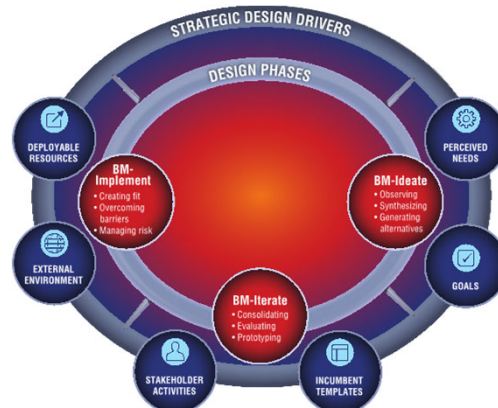
- A design perspective offers a content and process-based lens for crafting a BMI strategy
- Goal: business models that are legitimate, difficult to imitate and scalable
- A BMI strategy also needs to consider the DESIGN drivers

BMI Strategy – Process



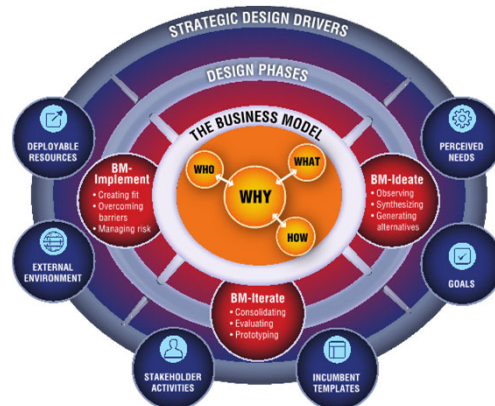
Source: Amit and Zott *Business Model Innovation Strategy* Chapter 12 (Wiley, 2021)

BMI Strategy – Antecedents & Process



Source: Amit and Zott Business Model Innovation Strategy, Chapter 12 (Wiley, 2021)

BMI Strategy At A Glance



Source: Amit and Zott Business Model Innovation Strategy, Chapter 12 (Wiley, 2021)

Key Points About Business Models

- ❑ New **locus of innovation**, value creation & competition
- ❑ Conceptualized as **system of activities** that centers on customer needs
- ❑ Firm-centric, yet partner-heavy
 - Requires “ecosystem” development
- ❑ Key design elements
 - Content (“what”), Structure (“how”), Governance (“who”)
- ❑ Key objectives
 - Value creation and capture (“why”)

Questions?



■ Appendix

Problem: How to Keep Tires in Truck Fleets in Good Conditions?

Having tires in good conditions is a necessary condition in truck fleets for high security levels and low gas consumption.



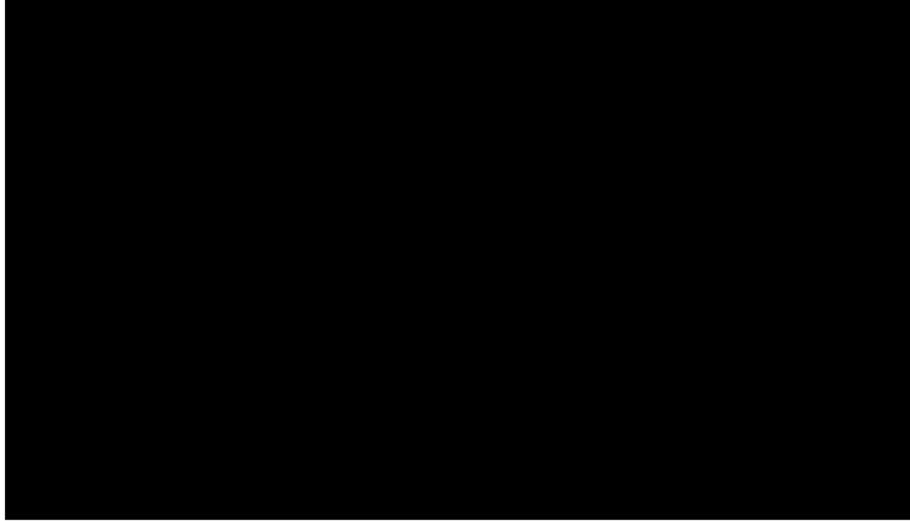
Problem

- Tire maintenance is time consuming and costly, especially for large firms with big fleets

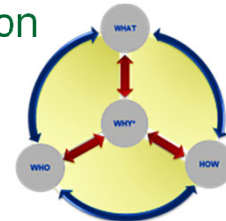
Typical Solution

- Most of the time tire managing activity is performed by the company itself via scheduled check-ups

New Business Model: Beyond Selling Tires



Michelin Business Model Innovation



■ WHAT?

- Michelin leases tires to truck fleets
- Moreover, the company performs routine check-up's and services such as tire replacement and maintenance

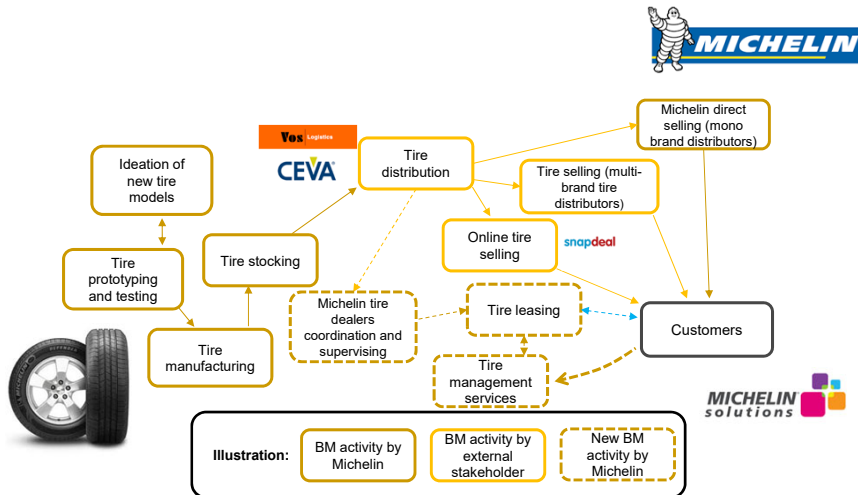
■ HOW?

- Grafting new activities into existing systems by bypassing third-party distributors and vendors

■ WHY?

- Cost of services depends on "per mile" rates

Michelin Truck Fleet Management: How it Works



Problem: How to Help Indian Customers Take Care of Their Cars?

Daily usage of your car in India can seriously deteriorate its internal and external parts

Problem

- Each part of the car would need a specific treatment

Typical solution

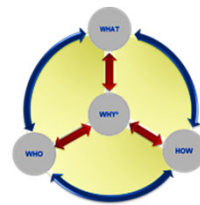
- Buying specific car products for each of the issues to take care of (leading to high costs for customers)

New Business Model: 3M Car Care Center

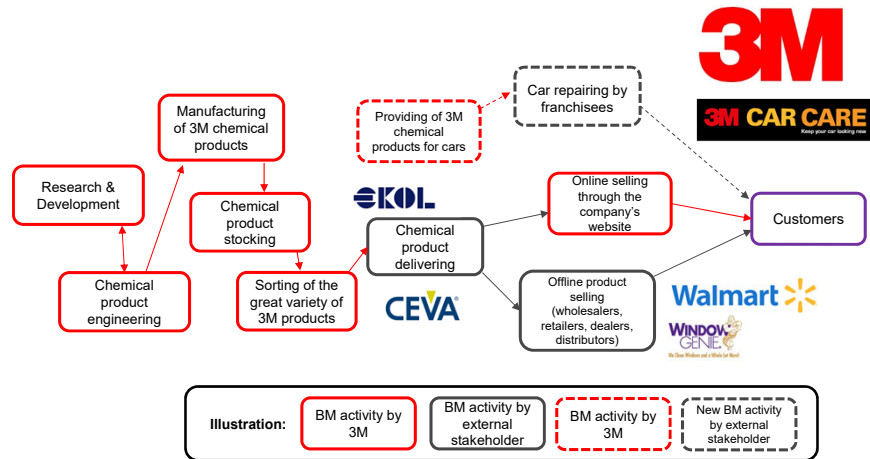


3M Business Model Innovation

- ❑ Among many others, 3M produces a vast array of chemical products specifically ideated for vehicles repairation.
- ❑ In order to take advantage of its product offer 3M India created the so called "3M Car Care Centers".
- ❑ In these centers 3M partners perfom car repairing and maintaining activities using 3M products.



3M Car Care Center: How it Works?



Questions?

